

Calendar Lines 2,9

Case Name: *Yee, et al. v. FCA US, LLC, et al.*

Case No.: 25CV461522

FCA’s demurrer to the first through fourth causes of action on the ground that they are barred by the statute of repose pursuant to Code of Civil Procedure sections 871.20 and 871.21 is OVERRULED. As to the third and fourth causes of action, section 871.20 plainly states that it applies to a violation of section 1793.2 (b) or (d); it does not state that it applies to a violation of sections 1793.2, subdivision (a)(3) or 1791. As to the first and second causes of action, in order for GM to rely on sections 871.20 or 871.21, it needs to have “elect[ed] to be governed by this chapter for all actions described in subdivision (a) of Section 871.20 with respect to all of its motor vehicles.” (Code Civ. Proc. §§ 871.29, subd. (b).) While FCA argues that it is “a manufacturer that has opted into the statute,” there is no such allegation in the FAC, and FCA neither demonstrates that it made any such election, nor requests judicial notice of any election, thereby failing to establish that either section 870.20 or 871.21 applies to the FAC. (See *Richtek USA, Inc. v. uPI Semiconductor Corp.* (2015) 242 Cal.App.4th 651, 658 (Sixth District stating that “[w]here, as here, [plaintiffs] demur on the primary ground that the action is time-barred under the affirmative defense of the statute of limitations... the defect must clearly and affirmatively appear on the face of the complaint”); see also *Committee for Sound Water & Land Development v. City of Seaside* (2022) 79 Cal.App.5th 389, 400 (Sixth District stating that “to be raised by demurrer, the defect must clearly and affirmatively appear on the face of the complaint”).)

Citing to *Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, FCA argues that the sixth cause of action of the FAC “simply asserts conclusory allegations that FCA US concealed acts without naming individuals, providing details about representations or specifying dates.” However, while FCA is correct that, as general rule, each element in fraud

cause of action must be pleaded with specificity (see *Lazar v. Super. Ct.* (1996) 12 Cal.4th 631, 645 (stating that “[i]n California, fraud must be pled specifically”)), this specific pleading requirement is significantly relaxed in the case of fraud by concealment or omission because, as one court has explained, “[h]ow does one show ‘how’ and ‘by what means’ something didn’t happen, or ‘when’ it never happened, or ‘where’ it never happened?” (*Alfaro v. Community Housing Imp. System Planning Ass’n, Inc.* (2009) 171 Cal.App.4th 1356, 1384.) Additionally, one of the purposes of the specificity requirement is to provide “notice to the defendant, to furnish the defendant with certain definite charges which can be intelligently met.” (*Tenet Healthsystem Desert, Inc. v. Blue Cross of California* (2016) 245 Cal.App.4th 821, 838.)

Therefore, when “it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy, even under strict rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party....” (*Id.*; see also *Bushell v. JPMorgan Chase Bank, N.A.* (2013) 220 Cal.App.4th 915, 931 (stating that “plaintiffs did not have to specify the ... personnel who prepared these documents because that information is uniquely within ... [defendant’s] knowledge”).) It is clearly not necessary for Plaintiff to allege the identity of persons who allegedly concealed facts, as that information is uniquely within FCA’s knowledge. (See *Alfaro, supra*, 171 Cal.App.4th at pp.1384-1385 (stating that “[t]o afford defendants adequate notice of plaintiffs’ claims, it does not appear necessary to require... plaintiffs to allege each occasion on which an agent of either defendant could have disclosed the restrictive deed... [s]urely defendants have records of their dealings with the plaintiffs... ‘[t]hose details... are properly the subject of discovery, not demurrer’”).) As to the lack of an allegation of “what specifically [was] said or wr[itten], or when the representation was made,” FCA fails to understand that “[t]his statement of the rule... is intended to apply to affirmative misrepresentations.” (*Alfaro, supra*, 171 Cal.App.4th at p.1384 (also stating that “it is harder to apply this rule to a case of simple nondisclosure... [h]ow does one show ‘how’ and ‘by what means’ something didn’t happen, or ‘when’ it never happened, or ‘where’ it never happened?”))

Moreover, in *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, the court

concluded that allegations that the 2013 Nissan Sentra contained a defective transmission, that Nissan had exclusive knowledge of the defect and concealed and failed to disclose that information, that Nissan intended to deceive plaintiffs by such concealment, that plaintiffs would not have purchased the vehicle had they known of the defects and that plaintiffs suffered damages in the form of money paid to purchase the car, were sufficient to state a cause of action for fraudulent concealment. (*Id.* at p.844.) Here, the FAC contains similar allegations regarding the subject vehicle’s transmission (see FAC, ¶¶ 13-51, 80-87); the sixth cause of action alleges facts with sufficient particularity.

Citing *Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, FCA then argues that it has no duty to disclose because the FAC fails to allege a direct transactional relationship, that FCA had exclusive knowledge or that FCA’s authorized dealership employees were its agents. However, the *Bigler* court expressly stated that a duty to disclose may arise in a “seller and buyer” relationship (see *Bigler-Engler, supra*, 7 Cal.App.5th 276, 311), and in *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, the court concluded that similar allegations were sufficient to plead the existence of such a relationship demonstrating a duty to disclose (*Dhital, supra*, 84 Cal.App.5th at p.844; see also FAC, ¶¶ 4-5, 7-51, 80-87). Here, the FAC alleges that Plaintiffs interacted with FCA’s sales representatives and reviewed materials disseminated by FCA concerning the subject vehicle, but that FCA actively concealed the existence and nature of the Engine Defect despite having knowledge of the defect and the risk of serious injuries due to the defect. (See FAC, ¶¶ 4-5, 10-11, 18-31, 41, 47, 60-68.) Here, the FAC sufficiently alleges facts supporting the existence of a duty to disclose. (See *Dhital, supra*, 84 Cal.App.5th at p.844 (stating that “Nissan argue[d that] plaintiffs did not adequately plead the existence of a buyer-seller relationship between the parties, because plaintiffs bought the car from a Nissan dealership (not from Nissan itself)”; nevertheless, the court concluded that plaintiffs’ allegations [we]re sufficient”); see also *Johnson v. Casetta* (1961) 197 Cal.App.2d 272, 276 (stating that “an allegation of knowledge... is an allegation of ultimate fact”); see also *City of Industry v. City of Fillmore* (2011) 198 Cal.App.4th 191, 212 (stating that “an allegation of ultimate fact... must be

accepted as true for purposes of ruling on a demurrer”); see also *Kiseskey v. Carpenters' Trust for So. California* (1983) 144 Cal.App.3d 222, 230 (stating that “[t]he general allegation of agency is one of ultimate fact, sufficient against a demurrer”).) Additionally, FCA cites to numerous federal cases asserting that dealerships are not agents of manufacturers; however, California courts “are not bound by federal decisions on matters of state law.” (*Haynes v. EMC Mortgage Corp.* (2012) 205 Cal.App.4th 329, 335; see also *Brakke v. Economic Concepts, Inc.* (2013) 213 Cal.App.4th 761, 770 (stating that “decisions of federal courts in matters of state law are not binding on state courts”).)

Citing *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, FCA lastly argues that the economic loss doctrine bars the sixth cause of action. The *Rattagan* court stated that “under the economic loss rule, tort recovery for breach of a contract duty is generally barred... unless... [a] plaintiff [can] demonstrate the defendant's injury-causing conduct violated a duty that is independent of the duties and rights assumed by the parties when they entered the contract... [and that] the defendant's conduct... caused injury to persons or property that was not reasonably contemplated by the parties when the contract was formed.” (*Id.* at pp.20-21.) However, *Rattagan* itself expressly stated that “the economic loss rule does not apply to limit recovery for intentional tort claims like fraud. The doctrine only applies to bar tort recovery for negligently inflicted economic losses unaccompanied by physical or property damage under the limits recognized in *Sheen*.” (*Rattagan, supra*, 17 Cal.5th at p.38 (also stating that “Can a plaintiff assert an independent claim of fraudulent concealment in the performance of a contract? The answer to this question is also yes... [a] plaintiff may assert a tort claim for fraudulent concealment based on conduct occurring in the course of a contractual relationship, if the elements of the cause of action can be established independently of the parties’ contractual rights and obligations and the tortious conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered into the agreement... California case law similarly has viewed fraud by concealment on equal footing with fraud by affirmative misrepresentation”).) The *Rattagan* court merely confirmed its prior statement in *Erllich v.*

Menezes (1999) 21 Cal.4th 543, that “[t]ort damages have been permitted in contract cases... where the contract was fraudulently induced... [because] the duty that gives rise to tort liability is either completely independent of the contract or arises from conduct which is both intentional and intended to harm.” (*Erlich, supra*, 21 Cal.4th at pp.551-552.) Here, the right to be free from the intentional concealment of material facts regarding the purchase of a vehicle is separate from the contractual rights of a warranty, and the fraudulent inducement of a contract is beyond the reasonable contemplation of parties in entering a contract. FCA’s argument regarding the economic loss rule is plainly without merit.

FCA’s demurrer to the sixth cause of action for fraudulent inducement—concealment is OVERRULED in its entirety.

In light of the Court’s ruling regarding the demurrer to the sixth cause of action and the FAC’s allegations (see FAC, ¶¶ 7, 12-51, 80-87), FCA’s motion to strike the allegations supporting the request for punitive damages is DENIED.

Calendar Line 3

Case Name: *Monica Alcantar v. General Motors LLC*

Case No.: 25CV461594

This is a lemon law action. Defendant General Motors LLC (“GM”) demurs to the first through fifth causes of action alleged in the first amended complaint (“FAC”) filed by plaintiff Monica Alcantar (“Alcantar”).

On April 23, 2026, the court heard argument regarding GM’s demurrer to the FAC. The court requested supplemental briefing on the issue of whether the statute of limitations period outlined in Code of Civil Procedure section 871.21 bars Alcantar’s first and second causes of action. The court set out the following briefing schedule: GM was to submit its brief by April 30, 2026, Alcantar was to file a response by May 7, 2026, and GM was to file a reply by May 14, 2026. GM filed its brief on April 29, 2026. Alcantar filed a response on May 8, 2026—the court exercises its discretion to consider Alcantar’s untimely response.

The court addresses below the arguments raised by the parties in their supplemental briefing as to the FAC’s first and second causes of action. The court GRANTS GM’s request for judicial notice of Exhibit A pursuant to Evidence Code section 452, subdivisions (c) and (h). (See GM’s Request for Judicial Notice in Support of Supplemental Briefing (“RJN”), pp. 1:1-2:11; Evid. Code, § 452, subds. (c), (h).)

The court SUSTAINS GM’s demurrer to the FAC’s first and second causes of action with 20 days’ leave to amend. Alcantar appears to contend that Code of Civil Procedure section 871.21 did not become operative until July 1, 2025. (Alcantar’s Opposition to Defendants’ Demurrer, pp. 5:23-7:9.) However, Code of Civil Procedure sections 871.20 and 871.21 went into effect on January 1, 2025. (See Code Civ. Proc., §§ 871.20, 871.21.) It was therefore operative when Alcantar filed this action on March 18, 2025. Furthermore, the opt-in requirement for manufacturers became effective on April 2, 2025 (i.e., *after* Alcantar filed this action in March 2025). (See Code Civ. Proc., §§ 871.20, 871.29, 871.30.) Thus, GM did not need to opt-in for Code of Civil Procedure sections 871.20 and 871.21 to be operative when Alcantar filed this action. Moreover, even if GM was required to opt-in to Code of Civil Procedure sections 871.20 and 871.21, it appears that GM did timely opt-in. (See RJN, Ex. A; Code Civ. Proc., § 871.30.) Ultimately, then, the court agrees with GM that the statute of limitations period outlined in Code of Civil Procedure section 871.21 applies to the facts at hand. (See Supplemental Brief in Support of FAC, pp. 1:18-2:21.) Under Code of Civil Procedure section 871.21, the applicable

statute of limitations was six years from the original delivery date. (Code Civ. Pro. § 871.21.) Here, Alcantar purchased a 2015 Chevrolet Cruze (the “Subject Vehicle”) in June 2015. (FAC, ¶ 6.) Alcantar needed to initiate the action by June 2021. Alcantar did not initiate this action until March 2025.

The court turns to the parties’ due process arguments. Where a “change in remedy, as, for example, the shortening of a time limit provision, is made retroactive, there must be a reasonable time permitted for the party affected to avail himself of his remedy before the statute takes effect. If the statute operates immediately to cut off the existing remedy, or within so short a time as to give the party no reasonable opportunity to exercise his remedy, then the retroactive application of it is unconstitutional as to such party.” (*Rosefield Packing Co. v. Superior Court in and for City and County of San Francisco* (1935) 4 Cal.2d 120, 122-123 (*Rosefield*), internal citation omitted.) “In California, statutes of limitations, being procedural, are normally retroactively applied to accrued causes of action; but the court must inquire whether, in a given case, that retrospective application may violate due process by in effect eliminating the plaintiff’s right.” (*Aronson v. Superior Court* (1987) 191 Cal.App.3d 294, 297.) The Court of Appeal in *Rosefield* held that a year was “no doubt” a reasonable time and noted that “[m]uch shorter periods have been upheld. [Citations.]” (*Rosefield, supra*, 4 Cal.2d at p. 123.) Here, Alcantar was given such a reasonable time. AB 1755, enacting Code of Civil Procedure section 871.20 et seq., became law on September 29, 2024, but did not go into effect until January 1, 2025. Litigants were given a window of more than three months to file claims that would otherwise expire, like Alcantar’s. Alcantar was given a reasonable amount of time to bring the claims and did not do so. Alcantar’s due process rights have not been violated.

Moreover, to violate due process, *Rosefield* requires that the “change in remedy” must cut off an existing remedy. Causes of action under the Song-Beverly Act have a four-year statute of limitations which accrues, at the earliest, upon tender of delivery. (*Mexia v. Rinker Boat Co., Inc.* (2009) 174 Cal.App.4th 1297, 1306 (*Mexia*).) Four years after June 6, 2015, was June 6,

2019. (FAC, ¶ 6.) Alcantar filed the complaint in March 2025. Thus, unless the statute of limitations was tolled, Code of Civil Procedure section 871.21 did not cut off Alcantar’s existing remedy. The FAC does not allege facts sufficient to invoke any of the tolling doctrines that it references. (FAC, ¶ 32.) As to the discovery rule, the FAC does not explain when and how Alcantar discovered GM’s allegedly wrongful conduct—the generic allegation that Alcantar did so “shortly before” filing the complaint is insufficient. (*Id.* at ¶¶ 36-41; see *Fox v. Ethicon Endo-Surgery, Inc.* (2005) 35 Cal.4th 797, 808.) As to the “repair doctrine,” the FAC is devoid of allegations that Alcantar notified the manufacturer or seller of their failure to fix any issues within 60 days of completion of repairs or services. (See Civ. Code, 1795.6, subd. (b).) As to the “class action tolling” doctrine, the FAC identifies no class action that could potentially toll any applicable statute of limitations here. (See *Am. Pipe & Const. Co. v. Utah* (1974) 414 U.S. 538, 554.) As to the doctrines of equitable tolling, fraudulent concealment, and equitable estoppel, when a plaintiff relies on any of these theories “to save a cause of action that otherwise appears on its face to be time-barred, he or she must specifically plead facts which, if proved, would support the theory. [Citation.]” (*Mills v. Forestex Co.* (2003) 108 Cal.App.4th 625, 641, internal citations omitted.) For reasons the court has already discussed, the complaint does not allege facts sufficient to support application of these theories here. (See *Community Cause v. Boatwright* (1981) 124 Cal.App.3d 888, 900; *Mitchell v. State Dept. of Public Health* (2016) 1 Cal.App.5th 1000, 1008.)

The court OVERRULES GM’s demurrer to the FAC’s third cause of action. Code of Civil Procedure section 871.20 plainly states that it applies to a violation of section 1793.2, subdivisions (b) or (d), not subdivision (a)(3)—the FAC’s third cause of action alleges liability under Code of Civil Procedure section 1793.2, subdivision (a)(3). (Code Civ. Proc. § 871.20, subd. (a).)

The court OVERRULES GM’s demurrer to the FAC’s fourth cause of action. GM argues that the “delayed discovery does not apply to implied warranty claims.” (MPA, p. 12:15-21, citing

Nguyen v. Nissan North America, Inc. (N.D. Cal. 2020) 487 F.Supp.3d 845, 854, fn. 3.) GM is incorrect that the delayed discovery doctrine never applies to implied warranty claims. (See *Mexia, supra*, 174 Cal.App.4th at pp. 1309-1311 [stating that “by giving the implied warranty a limited prospective existence beyond the time of delivery, the Legislature created the possibility that the implied warranty could be breached after delivery . . . when a buyer has accepted a tender of goods, he or she must, within a reasonable time after he or she discovers or should have discovered any breach, notify the seller of breach or be barred from any remedy . . . [i]f the Legislature intended the duration provision to impose a deadline for consumers to give notice of defects under the Song-Beverly Act, it could have easily done so . . . [i]t did not . . . we interpret the duration provision as providing the implied warranties under the Song-Beverly Act with a limited prospective existence beyond the date of delivery.”]; see also *Yeager v. Ford Motor Co.* (N.D. Cal. Jan. 8, 2020) 2020 U.S. Dist. LEXIS 3805, at *7 [stating that “[t]he issue is whether a purchaser can sue more than five years after the purchase on the theory that a latent defect lurked within the vehicle not reasonably discoverable by him until after the year ran such that the four-year limitations period began only upon discovery . . . [t]he answer is yes. The implied warranty of merchantability may be breached by a latent defect undiscoverable at the time of sale. [Citation]”]; see also *Tanner v. Ford Motor Co.* (N.D. Cal. 2019) 424 F.Supp.3d 666, 671-672 [stating that “the statute of limitations for implied warranty claims does not run at tender . . . [i]t runs at discovery . . . the discovery rule applies to implied warranty claims. [Citation.]”].)

The court OVERRULES GM’s demurrer to the FAC’s fifth cause of action. GM argues that Alcantar “cannot invoke the delayed discovery rule because [Alcantar] affirmatively states that the alleged ‘[d]efects and nonconformities to warranty manifested themselves within the applicable express warranty period . . .’” (MPA, p. 13:6-8, citing FAC, ¶ 20.) According to GM, Alcantar fails to plead facts showing that she was not negligent in failing to make “the discovery sooner.” (*Id.* at p. 13:6-14, citing *Hobart v. Hobart Estate Co.* (1945) 26 Cal.2d 412, 437; *Johnson v. Ehrgott* (1934) 1 Cal.2d 136, 137.) The question of whether Alcantar was “not negligent” in her discovery is a factual issue that cannot be decided on a demurrer—it does not

present a deficiency on the face of the pleading. Moreover, Alcantar has alleged a history of repair attempts in which she presented the Subject Vehicle to GM's authorized repair facility, and these facilities represented that they had repaired the Subject Vehicle. (See FAC, ¶¶ 11-12.) As to GM's argument regarding the sufficiency of the allegations supporting the FAC's fifth cause of action, the FAC alleges that Alcantar entered into a warranty contract with GM, GM advertised to Alcantar regarding the Subject Vehicle, the Subject Vehicle exhibited defects, GM knew of these defects and failed to disclose them, GM intended to defraud Alcantar, and Alcantar would not have purchased the Subject Vehicle had she known of these defects. (FAC, ¶¶ 6-13, 71-100.) These allegations are sufficient. (See *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 843-844 (*Dhital*).) Although the Supreme Court initially granted review in *Dhital*, it subsequently dismissed review, which means *Dhital* is precedential authority. (Cal Rules of Court, rule 8.1115(e)(2).) The court is also not convinced by GM's economic loss rule argument. (See *Dhital, supra*, 84 Cal.App.5th at pp. 833, 837-841.)

Calendar Line 4

Case Name: *Monica Alcantar v. General Motors LLC*

Case No.: 25CV461594

This is a lemon law action. Defendant General Motors LLC ("GM") demurs to the first through fifth causes of action alleged in the first amended complaint ("FAC") filed by plaintiff Monica Alcantar ("Alcantar").

The court OVERRULES GM's demurrer to the FAC's first through third causes of action. GM argues that these causes of action are barred by the statute of repose and statute of limitations outlined in Code of Civil Procedure sections 871.20 and 871.21. (Memorandum of Points and Authorities in Support of GM's Demurrer ("MPA"), pp. 10:6-11:27.) First, Code of Civil Procedure section 871.20 plainly states that it applies to a violation of section 1793.2,